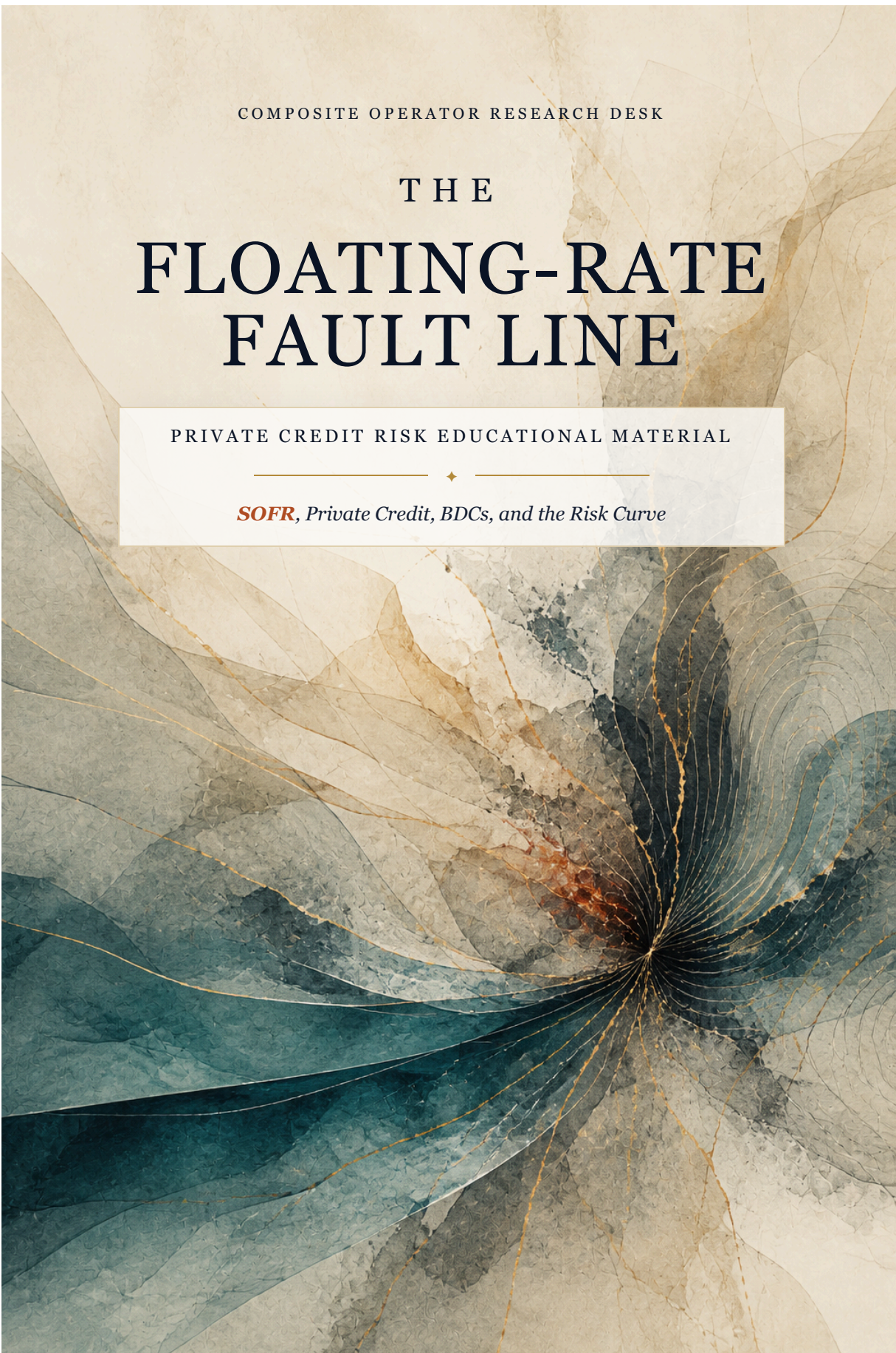


COMPOSITE OPERATOR RESEARCH DESK

# THE FLOATING-RATE FAULT LINE

PRIVATE CREDIT RISK EDUCATIONAL MATERIAL

— ♦ —  
***SOFR**, Private Credit, BDCs, and the Risk Curve*



**Source Note.** This pamphlet is an independent educational synthesis from a user-supplied transcript of a **Casual Finance** video covering **Treasury yields, SOFR**, private credit, PIK interest, BDCs, and credit stress, combined with public FRED and Yahoo Finance chart data. This edition also incorporates publicly accessible Capital Flows Research material on **macro liquidity and AI transmission, AI credit-cycle risk, the credit-cycle melt-up playbook**, and **equity-flow tracking**. This 2026-09-14 review adds public Capital Flows material on **inflation risk and the bond-market repricing, interest-rate and FX mechanics, equity-market liquidity sensitivity**, and **monetary regime change**. It is a monitoring framework, not financial advice, a recommendation, or a claim of future performance.

# The Floating-Rate Fault Line

A medium/long-term risk setup for **SOFR**, private credit, BDCs, and the public-market proxies that may signal when private marks finally catch up to public stress.

## Pamphlet Contents

1. The setup: why the private-credit stress story is a medium/long-term thesis, not a one-day headline.
2. The mechanism: **SOFR**, floating-rate debt, PIK interest, private marks, and BDC payout optics.
3. The risk curve: a staged map from funding pressure to public repricing.
4. The charts: overlaid **rates**, curve pressure, spreads, BDC proxies, and individual names.
5. The trigger sheet: confirmation, invalidation, and what would move the thesis from latent to active.
6. The glossary: terms needed to read the setup without losing the credit mechanics.

# 1. The Setup

The transcript's core idea is simple: the price of money has been repriced, but the most fragile balance sheets do not all reprice visibly at the same time. **SOFR** hits floating-rate borrowers immediately. Private-credit marks, BDC NAVs, dividend coverage, and public proxy prices may lag.

The medium/long-term setup is therefore not "**rates** are high, so something must break." The setup is a timing curve: funding pressure first, borrower cash-flow stress second, accounting accommodation third, public-market recognition fourth.

The private-credit market matters because many loans sit outside daily public price discovery. When those loans are floating-rate, the debt service burden can rise quickly, while the visible damage may appear slowly through PIK interest, non-accruals, amendments, NAV marks, redemptions, or dividend pressure.

## 2. The Mechanism

**SOFR is the pressure valve.** A floating-rate loan uses a benchmark, commonly **SOFR**, plus a spread. If **SOFR** rises or stays elevated, the borrower's interest cost stays elevated. The lender may still report income, but the borrower's cash-flow cushion shrinks.

**PIK is the smoke chamber.** Payment-in-kind interest can allow a borrower to avoid cash interest by adding unpaid interest to principal. That may prevent an immediate default trigger, but it also turns cash income into a claim on future repayment.

**BDC optics are the public window.** Business development companies and BDC ETFs are not the whole private-credit universe, but they are tradable proxy surfaces. They let the market express concern before every private loan is marked down.

**The maturity wall is the clock.** The transcript frames 2026-2029 as the refinancing window to watch. The key question is whether lower **rates** arrive early enough, and whether lower **rates** are relief or recession confirmation.

**AI capex is the reflexive bridge.** Public Capital Flows material frames AI as a macro transmission channel, not only a technology theme. AI spending can support chips, power, data centers, cloud, software, corporate issuance, and equity leadership. In this pamphlet, that matters because the same loop can keep financing windows open while private-credit stress stays partially hidden.

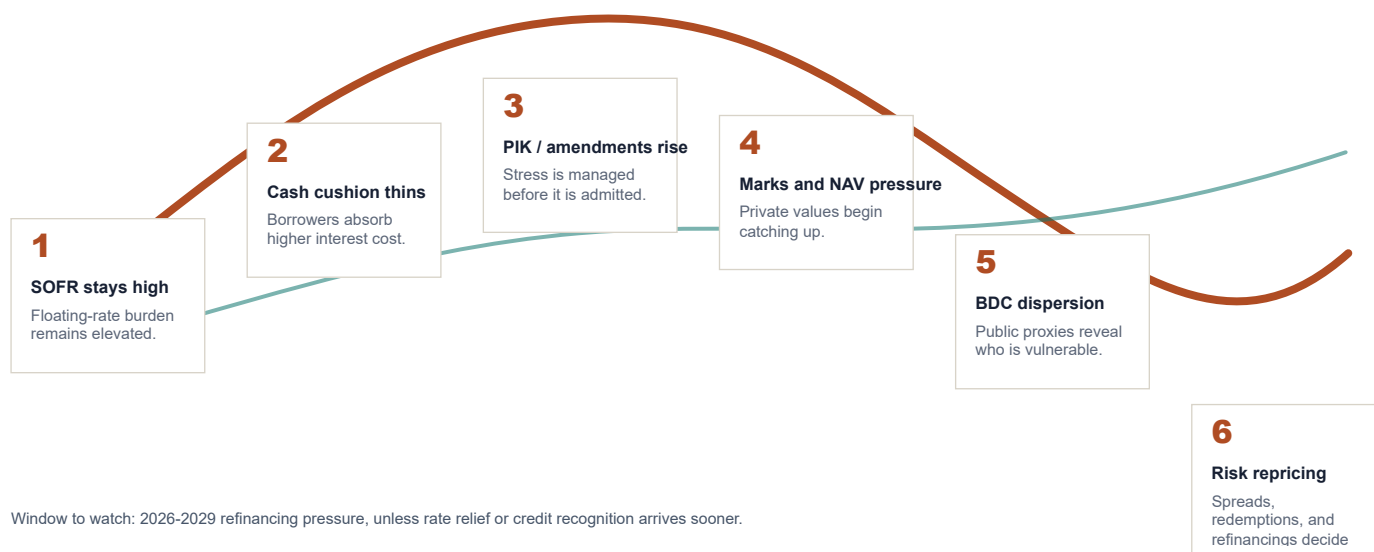
**Non-cash income is the shared fault line.** PIK interest and aggressive AI-financing structures both create timing risk. Reported income, demand, or collateral value can appear before durable cash proof arrives. The warning condition is not AI capex by itself. The warning condition is AI capex plus sticky funding costs, weaker credit spreads, slower buybacks, and heavier IPO or secondary supply.

**Rate volatility is the override.** The new public Capital Flows material makes the long end and FX channel more important to this pamphlet. If real long-end rates rise while inflation swaps stay contained, the problem is not only short-rate pressure on floating borrowers. It is a broader refinancing and collateral haircut risk that can pull private credit, BDC marks, equity valuation, and cross-border liquidity into the same confirmation set.

### 3. Projected Risk Curve

#### Projected Risk Curve: From Funding Pressure to Market Recognition

A sequence for monitoring confirmation, not a guaranteed path.



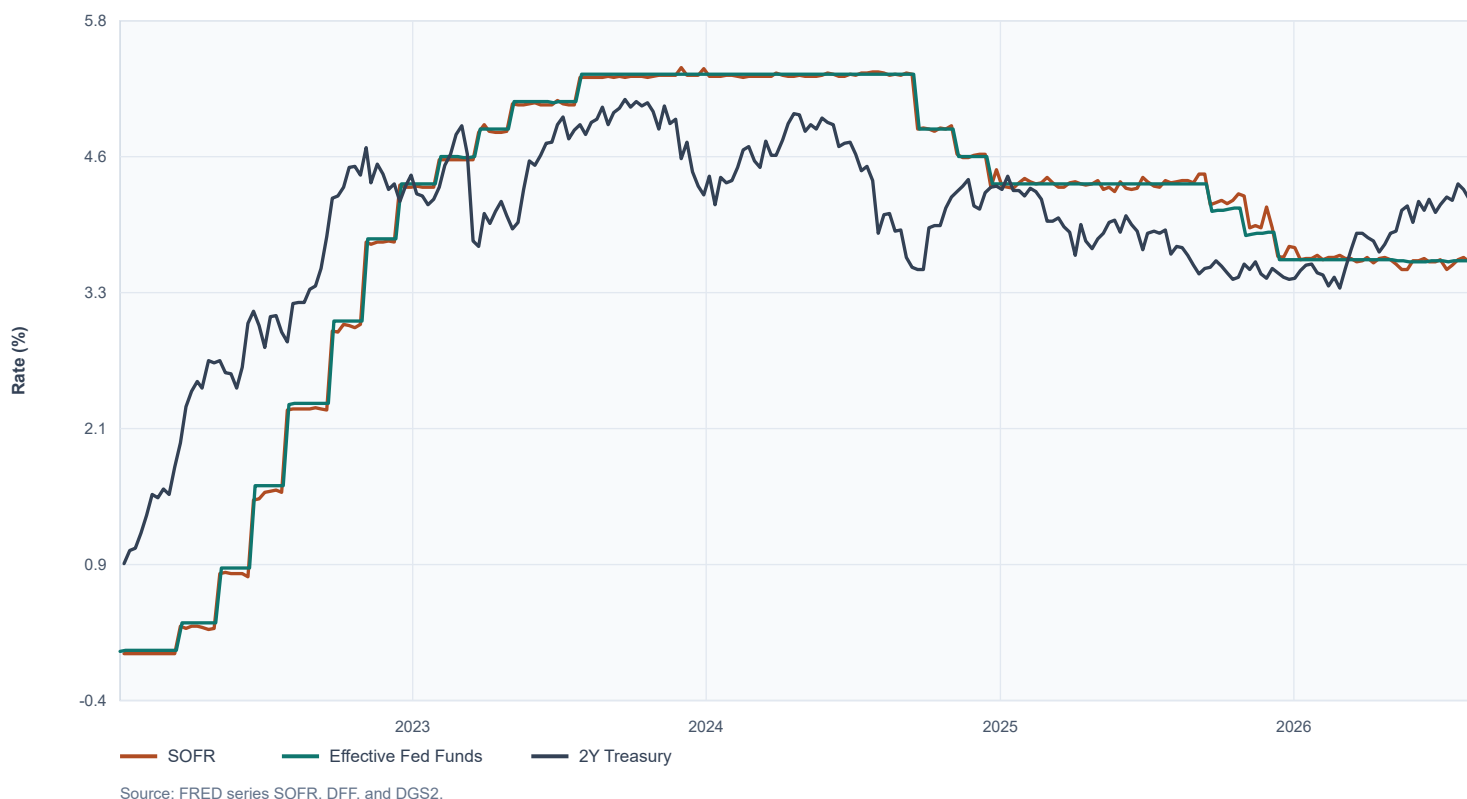
Projected risk curve. The curve is not a forecast path; it is a monitoring sequence for where stress should surface if the thesis is working.

The technically sound version of this thesis is staged. Do not demand that every signal fire at once. If private credit is the concealed stress channel, the first signals should be **rates** and borrower mechanics. The later signals should be spread widening, BDC underperformance, NAV pressure, and more explicit defaults.

## 4. Chart Pack

### SOFR, Fed Funds, and the Front-End Signal

Daily observations, weekly sampled. Funding pressure hits floating-rate borrowers first.



**SOFR, Fed funds, and 2Y Treasury yield.** This chart tracks whether the floating-rate burden is actually easing.

# Treasury Curve Pressure

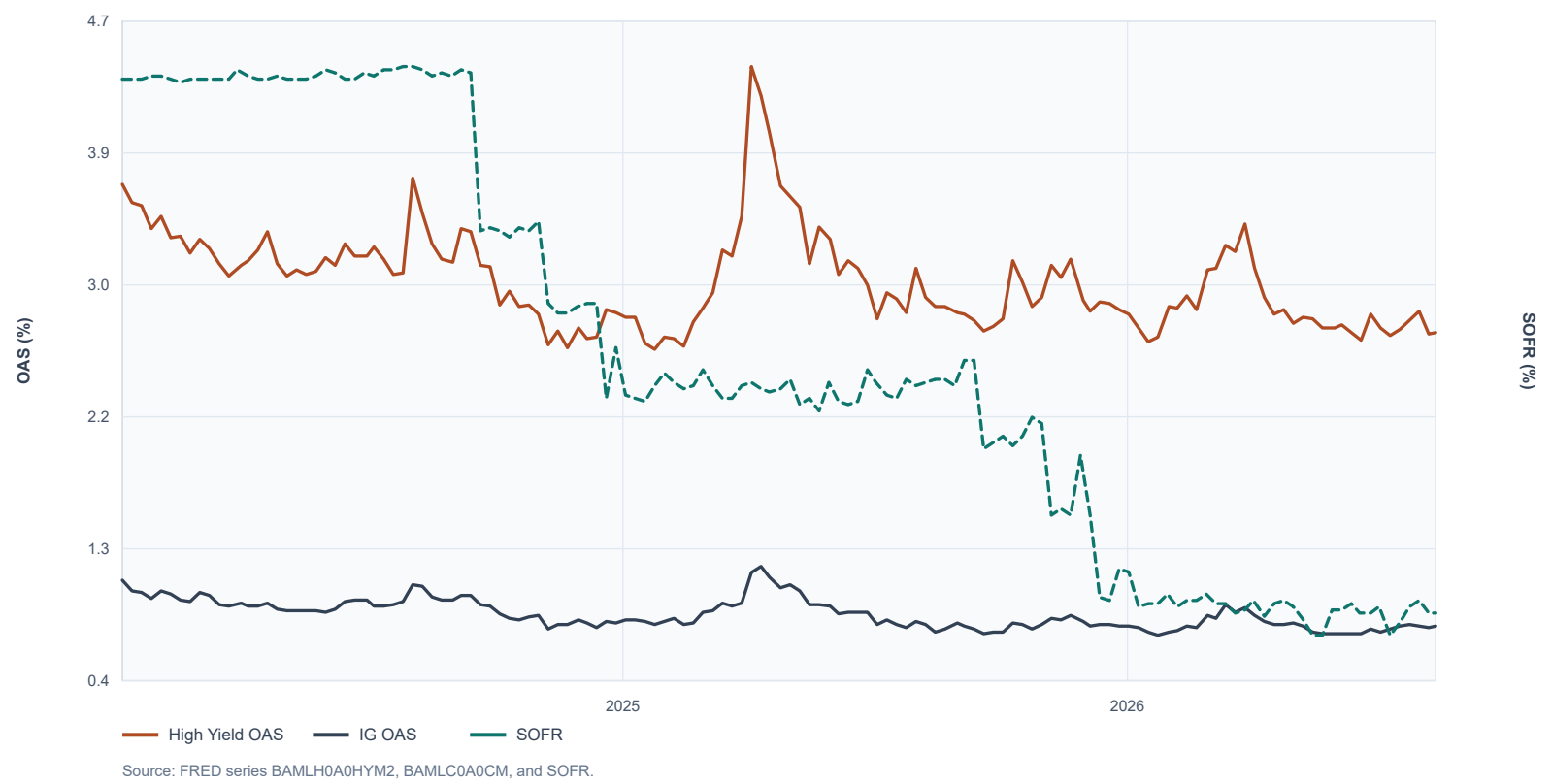
2Y, 10Y, and 30Y Treasury yields. The long end prices duration, inflation, and fiscal trust.



**Treasury** curve pressure. The **2Y** captures policy expectations; the **10Y** anchors broad risk; the **30Y** tests long-run fiscal and inflation trust.

# Credit Spread Confirmation Versus Funding Pressure

High-yield and investment-grade OAS overlaid with SOFR. Stress often confirms after funding pain.



**Credit spread** confirmation versus funding pressure. A dangerous configuration is high funding pressure with spreads that remain too calm.

# Public Proxies for the Private-Credit Stress Channel

Adjusted close proxies, normalized to 100. Public prices are noisy but update faster than private marks.



Public proxies. **BIZD**, **HYG**, **BKLN**, **KRE**, and **SPY** are noisy, but they update faster than private marks.

# BDC Names to Compare, Not Worship

Representative publicly traded BDCs, normalized to 100 from 2024. Dispersion is the signal.



Source: Yahoo Finance chart endpoint for ARCC, BXSL, OBDC, FSK, MAIN, HTGC, and GBDC.

BDC names. The purpose is not to worship one ticker; the purpose is to watch dispersion, relative weakness, and who fails to recover.

## 5. Names and Proxies

| Signal                   | Names / Series                                                                | Why It Matters                                                                                                 |
|--------------------------|-------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| Funding pressure         | <b>SOFR, DFF, 2Y Treasury</b>                                                 | Shows whether floating-rate borrowers are actually getting relief.                                             |
| <b>Long-end pressure</b> | <b>10Y, 30Y Treasury</b>                                                      | Long <b>rates</b> govern discounting, duration pain, and refinancing psychology.                               |
| Credit confirmation      | <b>HY OAS, IG OAS, HYG, BKLN</b>                                              | Confirms whether stress is moving from funding math into public credit pricing.                                |
| Private-credit proxy     | <b>BIZD</b>                                                                   | BDC ETF surface for the broader lending stress story.                                                          |
| BDC dispersion           | <b>ARCC, BXSL, OBDC, FSK, MAIN, HTGC, GBDC</b>                                | Watch relative strength, dividend/NAV pressure, non-accruals, and PIK exposure by name.                        |
| Spillover                | <b>KRE, SPY</b>                                                               | Regional banks and broad risk appetite show whether private stress stays contained.                            |
| AI capex loop            | <b>SMH, XLK, ORCL, NVDA</b> , IPO calendar, secondary offerings, buyback pace | Tests whether the public equity engine is still funding the narrative or becoming exit liquidity.              |
| Rate-volatility override | <b>30Y Treasury, DXY, USDJPY, VIX</b> , MOVE, inflation swaps                 | Tests whether long-end rates, FX, and volatility are tightening conditions before private-credit marks update. |

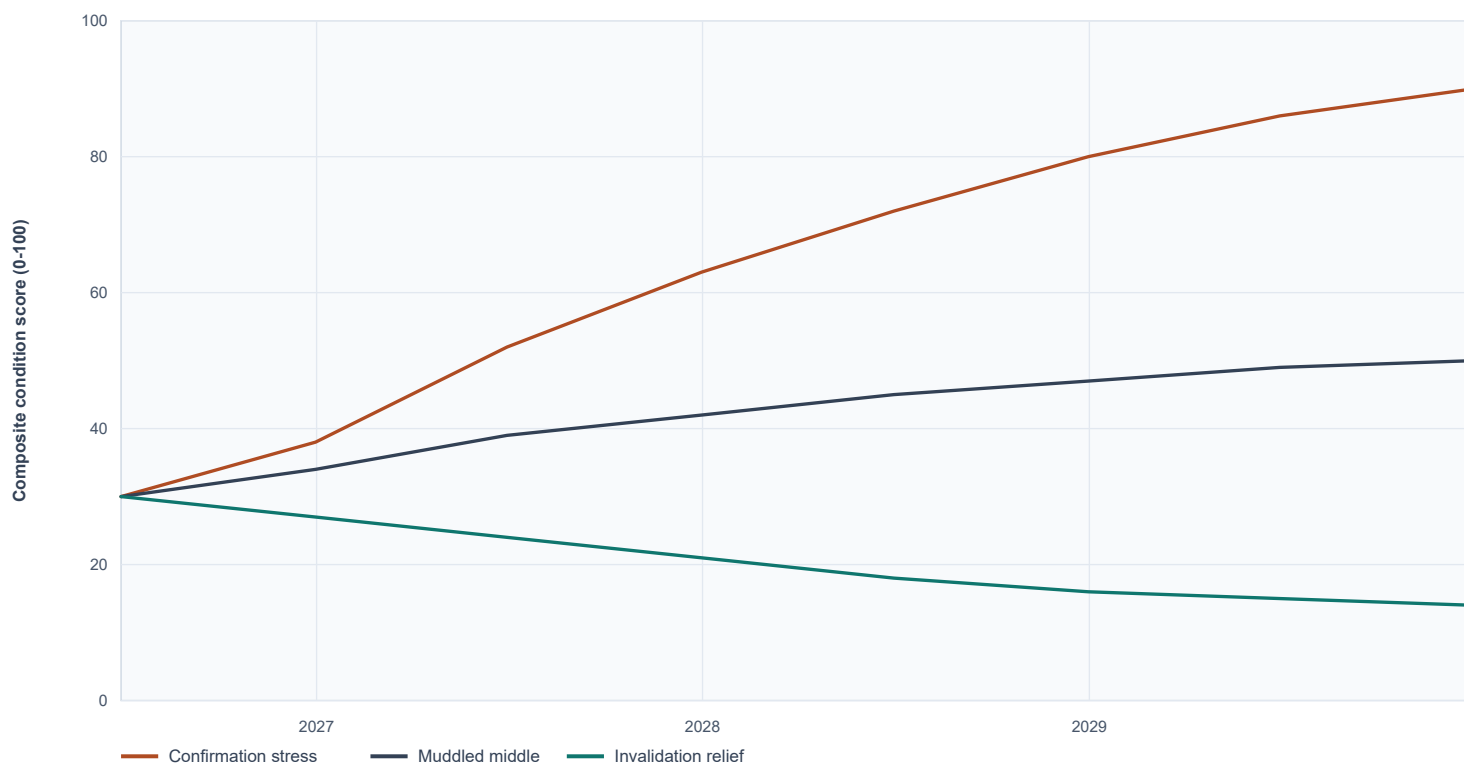
## 6. Confirmation and Invalidation

### Scenario Forecasting Aids

For a prospectus-style risk section or investment memo, the point is not to pretend that the future is a single line. The point is to translate the conditional thesis into visible paths: what confirmation would look like, what a muddled middle would look like, and what would invalidate the stress case.

#### Scenario Forecast: Confirmation Versus Relief

Illustrative condition score: SOFR persistence, spread stress, BDC dispersion, and reported credit strain.

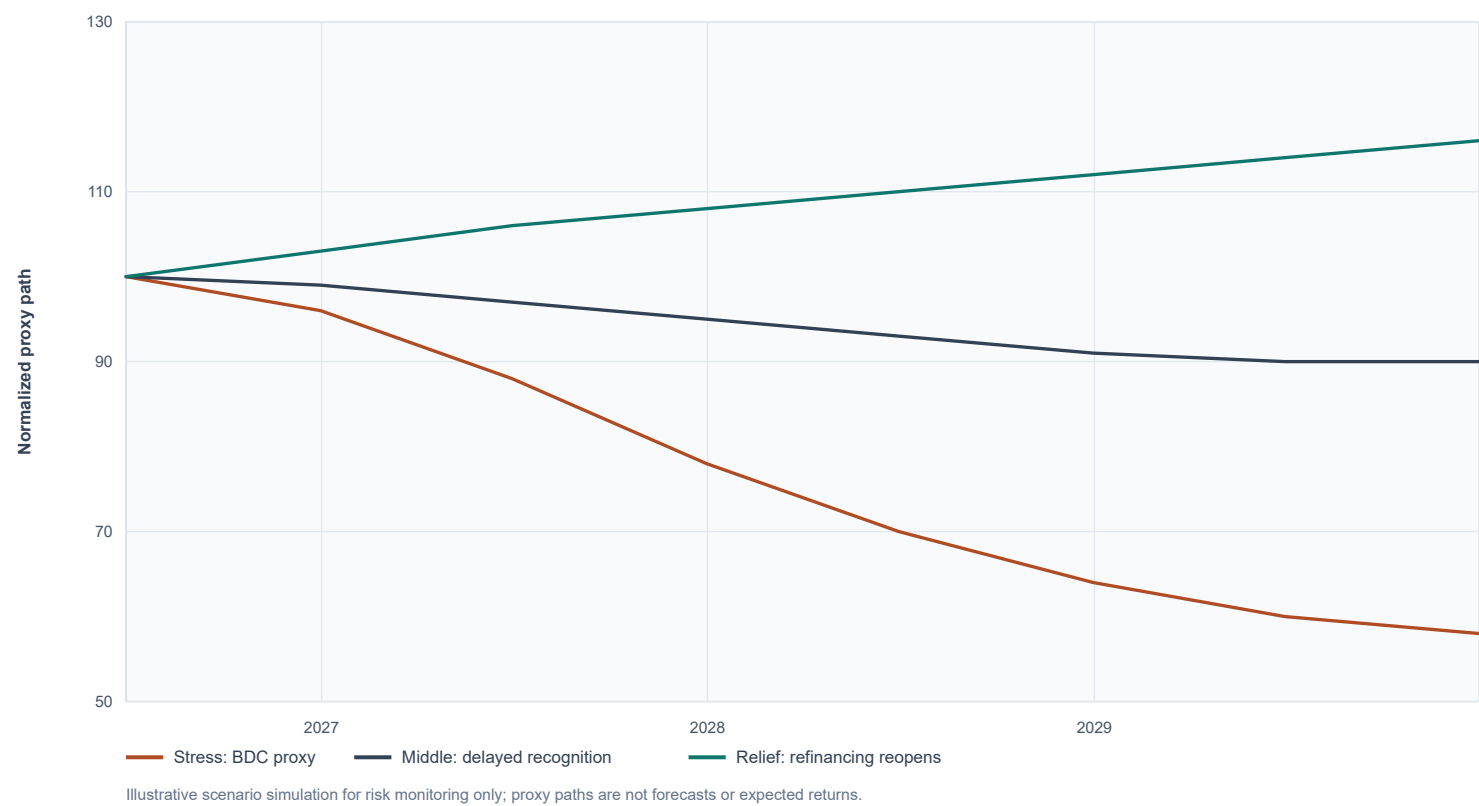


Illustrative scenario simulation for risk monitoring only; not a price target, valuation, forecast, recommendation, or guarantee.

Scenario confirmation score. This simulated monitor compresses **SOFR** persistence, credit-spread widening, BDC dispersion, and reported stress into one conditional score. A rising line means the stress thesis is gaining confirmation; a falling line means the relief path is doing the work.

# Scenario Forecast: Public Proxy Response

Simulated normalized paths for BDC/credit-risk proxy behavior under stress, middle, and relief conditions.



Public proxy response simulation. The downside path shows BDC proxy weakness leading broader credit recognition; the relief path shows the opposite condition: funding relief without disorderly spread widening.

| Scenario            | What It Should Look Like                                                                                                         | Prospectus-Style Use                          |
|---------------------|----------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|
| Confirmation stress | <b>SOFR</b> remains sticky, spreads widen, BDCs lose relative strength, and PIK/non-accrual metrics rise.                        | Downside case and risk-factor support.        |
| Muddled middle      | <b>Rates</b> ease slowly, spreads drift wider but not violently, and BDC dispersion becomes more important than index direction. | Base case with monitoring triggers.           |
| Invalidation relief | <b>SOFR</b> falls durably, refinancing windows reopen, and BDC proxies recover without a delayed credit-spread break.            | Relief case and thesis invalidation language. |

## Cross-Confirmation Layer

The private-credit thesis becomes stronger when it stops living inside private credit alone. The cross-confirmation layer asks whether AI capex, public equity supply, and credit markets still reinforce each other, or whether the system is starting to distribute risk to public buyers while funding conditions tighten.

| Condition             | Evidence To Watch                                                                                                                                     | Interpretation                                                                                                 |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| Financing still works | AI leaders hold relative strength, buybacks remain active, IPO and secondary supply is absorbed, SOFR eases, and credit spreads stay contained.       | Relief or melt-up condition. The stress thesis stays latent.                                                   |
| Distribution risk     | Buybacks slow, IPO and secondary supply rises, AI leaders lose relative strength, and weaker BDCs fail to recover with the index.                     | Top-risk condition. Public buyers may be asked to absorb paper while institutions and issuers reduce exposure. |
| Credit break          | SOFR stays sticky or falls only after spreads widen, PIK/non-accruals rise, refinancing windows close, and BDC proxies underperform credit ETFs.      | Confirmation condition. The hidden stress is becoming visible.                                                 |
| Rate-volatility break | Long-end real rates rise, the dollar or yen channel destabilizes, volatility lifts from compressed levels, and equities stop absorbing bond weakness. | Override condition. The private-credit clock can speed up even before reported marks catch up.                 |

## Actionable Monitoring Behaviors

- Early phase: do not short the narrative because it feels excessive. Require confirmation from rates, credit spreads, and relative strength.
- Transition phase: reduce exposure to weak recoveries, fragile balance sheets, and high-PIK credit surfaces. Use defined-risk hedges if the memo requires trade expression.
- Stress phase: separate panic from durable repricing. Require BDC reporting evidence, spread widening, and failed refinancing before treating the move as structural.
- Relief phase: remove stress hedges when SOFR falls durably, spreads stay contained, refinancing opens, and AI capex validates cash flow instead of only valuation.

## Confirmation Path

- **SOFR** and **Fed funds** remain high enough that floating-rate borrowers do not receive meaningful cash-flow relief.
- **2Y yields** stop falling while **10Y/30Y yields** stay elevated, implying relief is not arriving cleanly across the curve.
- **HY OAS** and **IG OAS** begin to widen while **BIZD** and weaker BDC names underperform **SPY** and **HYG**.
- BDC reports show rising PIK dependence, non-accruals, dividend coverage strain, NAV marks, or amendment activity.
- The 2026-2029 refinancing window produces more restructurings rather than clean maturity extensions.

## Invalidation or Relief Path

- **SOFR** falls materially and durably without a disorderly credit-spread widening.
- BDC proxies reclaim relative strength while reported PIK and non-accrual stress declines.
- **Credit spreads** remain contained because borrower cash flow improves, not because losses are hidden by accounting structure.
- Refinancing markets reopen for middle-market borrowers without forcing widespread lender concessions.

# Glossary

|                           |                                                                                                                                             |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SOFR</b>               | Secured Overnight Financing Rate. A short-term funding benchmark used in many floating-rate loans.                                          |
| <b>Floating-rate debt</b> | Debt with an interest cost that resets as the benchmark rate changes.                                                                       |
| <b>PIK interest</b>       | Payment-in-kind interest. Interest that is added to principal instead of paid in cash.                                                      |
| <b>BDC</b>                | Business development company. A public vehicle that lends to or invests in middle-market companies.                                         |
| <b>NAV</b>                | Net asset value. The reported value of a fund or vehicle after liabilities.                                                                 |
| <b>Non-accrual</b>        | A loan status used when the lender no longer expects normal interest collection.                                                            |
| <b>OAS</b>                | Option-adjusted spread. A credit-spread measure that adjusts for embedded options.                                                          |
| <b>HY and IG</b>          | High yield and investment grade credit. HY carries more credit risk; IG carries less credit risk.                                           |
| <b>Maturity wall</b>      | A period when many debts must be refinanced or repaid.                                                                                      |
| <b>AI capex</b>           | Capital expenditure tied to AI infrastructure, including chips, data centers, power, networking, cloud, and software.                       |
| <b>Buyback</b>            | A company purchase of its own shares. Slower buybacks can remove a source of equity demand.                                                 |
| <b>Secondary offering</b> | New or existing shares sold after a company is already public.                                                                              |
| <b>Cross-confirmation</b> | Agreement between separate evidence sets. Here, that means rates, credit, BDCs, AI capex, and equity supply pointing in the same direction. |

## Closing: The Curve Is the Setup

The setup is not a single ticker. It is a sequence. If the thesis is real, **SOFR** and the curve should describe the pressure, **credit spreads** should begin to confirm it, BDC proxies should reveal market recognition, and reported private-credit metrics should eventually lose the ability to hide the stress.

The AI capex layer does not replace the private-credit thesis. It gives the thesis a broader confirmation map. If public equity supply rises while buybacks slow, credit spreads widen, and weaker BDCs fail to recover, then the market is no longer only rewarding the boom. It is starting to price who holds the bag when the funding loop stops working.

That is the pamphlet's discipline: track the pressure, wait for confirmation, and respect invalidation. The hidden thing only becomes tradeable when the visible surfaces start to agree.

